

Before discussing the results of the study, an explanation of the methodology is needed. There are large differences in stock selection methods in the FF/DFA value indexes and the Russell value indexes.

First, FF and DFA use only one fundamental ratio to separate growth from value. Specifically, FF use book-to-market as a proxy. Russell uses a multifactor model to separate growth and value. Second, the FF/DFA style indexes are mutually exclusive, meaning that if a stock is in one style, it is not in the other. Russell uses a graduated scale to make the transition from growth to value. If a stock in the Russell index has both value and growth characteristics, its market value could be divided into both segments. For example, a stock could have 60 percent of its market value attributed to growth and 40 percent to value. Third, FF neutral indexes are mutually exclusive from their value and growth indexes, whereas the Russell indexes do not have a neutral or core category.

[Table 6-5](#) compares the difference in risk and returns between large growth stocks, large value stocks, and large core holdings of both the FF large-cap indexes and the Russell large-cap indexes.

Although there are large differences in the style methodology of the two index providers, over the past 30 years the outcomes are similar using both the FF large-cap style indexes and the Russell 1000 large-cap style indexes. When both methodologies were used, the performance of large-cap value stocks was found to be higher than the performance of growth stocks, and the risk as measured by standard deviation was less for value stocks than it was for growth stocks.

[Table 6-6](#) is a similar comparison of the FF small-cap style indexes and Russell 2000 small-cap style indexes. The data reveal a significant difference between small-cap value and small-cap growth returns.

**TABLE 6-6**

Comparing Small-Cap Funds, 1979–2009

|                    | FF<br>Small<br>Growth | FF<br>Small | FF<br>Small<br>Value | Russell<br>2000<br>Growth | Russell<br>2000 | Russell<br>2000<br>Value |
|--------------------|-----------------------|-------------|----------------------|---------------------------|-----------------|--------------------------|
| Annualized return  | 7.9                   | 12.8        | 17.2                 | 8.8                       | 11.3            | 13.3                     |
| Standard deviation | 24.1                  | 20.3        | 18.2                 | 23.5                      | 19.9            | 17.4                     |